

REC Ltd | Financials | FY 2024-03

RECLTD | Nifty 100 Investment Tearsheet

47,517

Revenue (Rs Cr)

14,145

Net Profit (Rs Cr)

100.8

Operating Margin (%)

19.2

Return on Equity (%)

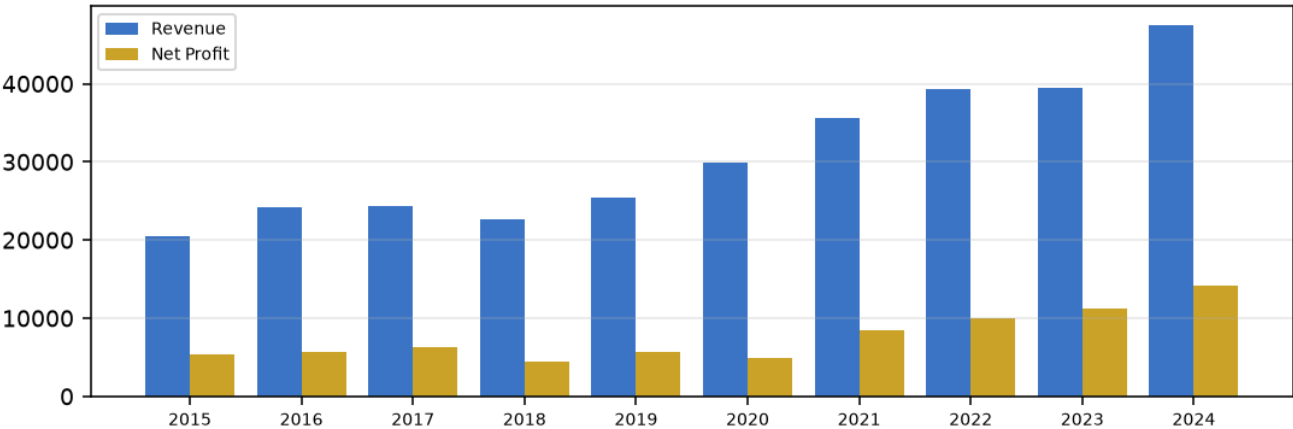
8.6

Return on Capital (%)

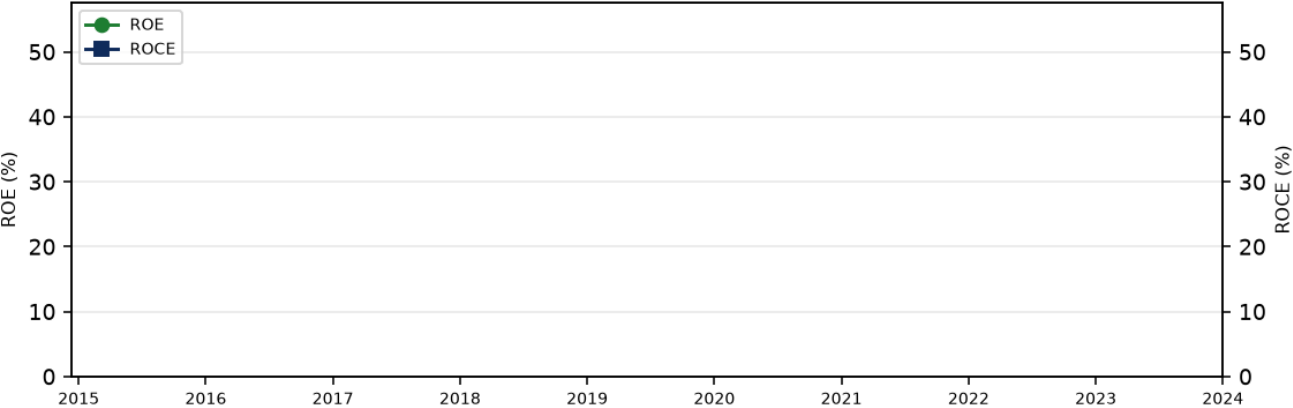
6.58

Debt / Equity

10-Year Revenue vs Net Profit (Rs Cr)

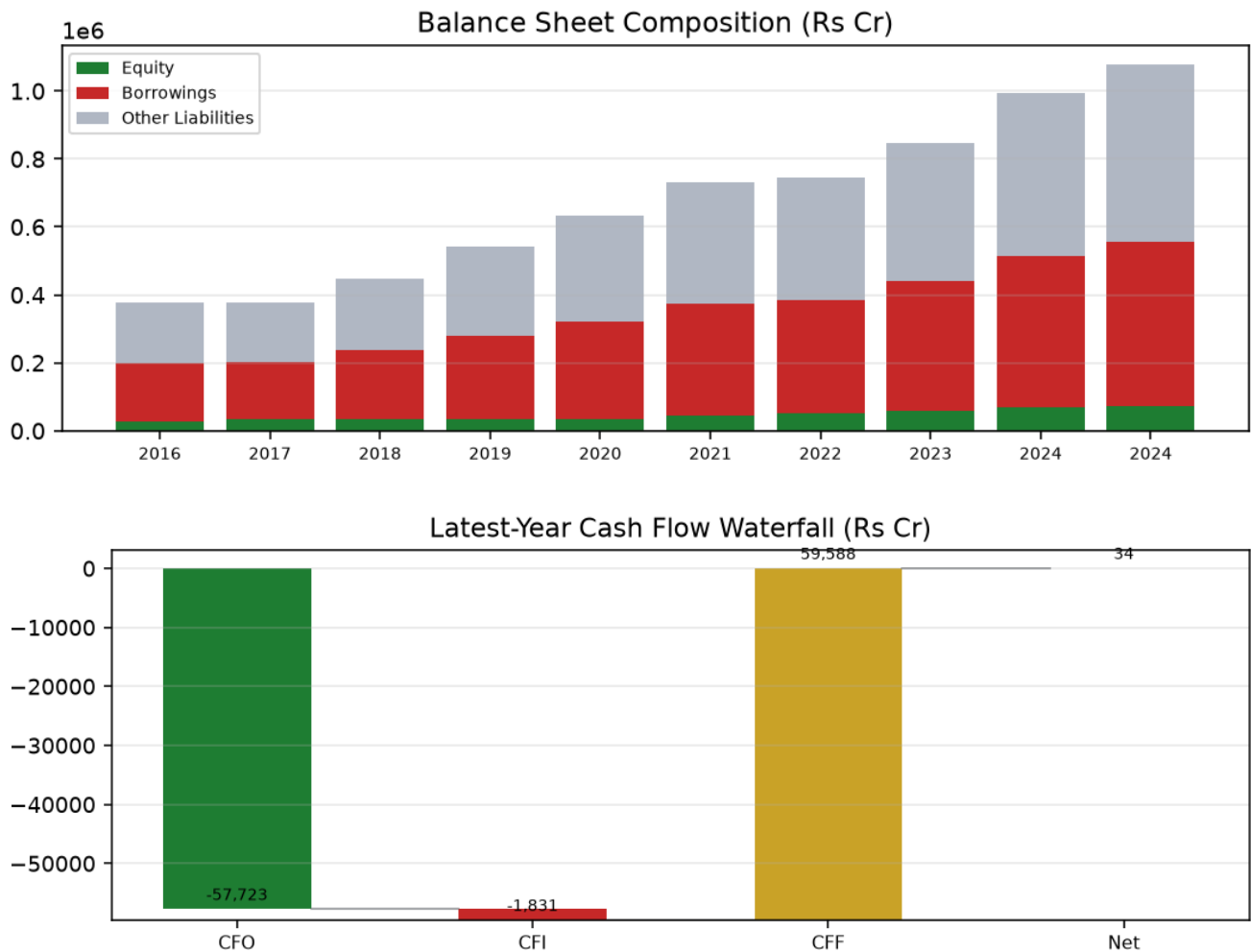


Return on Equity vs Return on Capital



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Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt of 476827 cr exceeding 3 times EBITDA (9.94x) limits financial flexibility

Capital Allocation: Growth Funded by Debt